EQUITY RESEARCH · COMPANY DEEP DIVE

Eli Lilly and Company (LLY.US)

Healthcare · Drug Manufacturers - General

Large Cap (>$200B) · Report Date: November 09, 2026

Latest financials: Q4 FY2025 · Model data as of 2026-11-09

BUY

Composite · Valuation: OVERWEIGHT

Target $1728.16 · +22.4% upside

Price $1411.95

INVESTMENT HIGHLIGHTS

- **OVERWEIGHT** — blended target $1728.16 (+22.4% vs $1411.95); Comps 80% + Analyst 20% valuation after outlier checks.
- Strong revenue growth; high operating margins; strong roe; positive fcf generation
- FCFE DCF not used in target (low FCFE yield / growth equity); rely on comps where shown; analyst used only if not stale.

MULTI-PILLAR INVESTMENT SIGNAL

Pillar	Rating / Signal	Key Metric	Wt
Valuation	OVERWEIGHT	Blended PT $1728.16	45%
FSA	Stable	Health +0.20 · Stable	20%
Technical	BULLISH	Bullish	20%
Quantitative	POSITIVE	Score +0.80 · 12m +54%	15%
Composite	BUY	Score +0.63 · 100% confluence	—

Valuation + technical aligned bullish; solid financial statement profile.

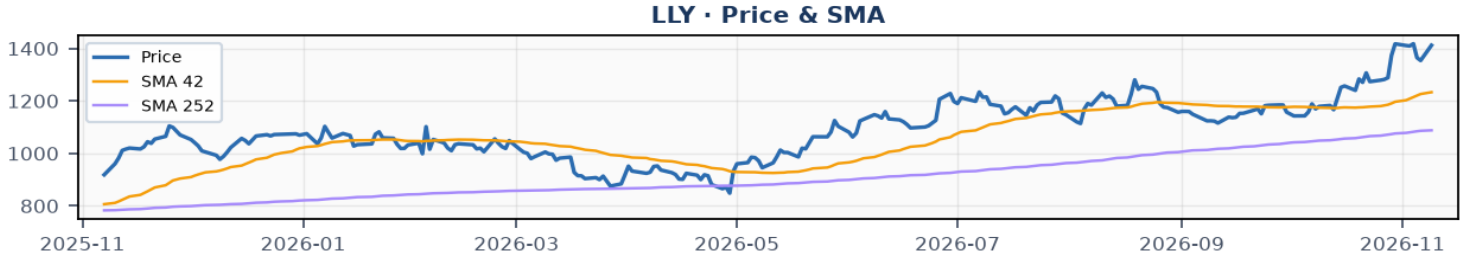
INVESTMENT THESIS / EXECUTIVE SUMMARY

Eli Lilly and Company (LLY) — Healthcare. Eli Lilly and Company discovers, develops, manufactures, and markets human pharmaceutical products in the United States, Europe, China, Japan, and... **OVERWEIGHT** rating; blended target $1728.16. See Investment Highlights above and valuation cross-check on page 2.

KEY DATA & MARKET HIGHLIGHTS

Item	Value	Item	Value
Market Cap	$1.26T	Shares Out.	890.7M
52-Week Range	$850.51 – $1453.00	P/E (TTM)	45.8x
P/B	31.2x	Beta	0.39
Avg Volume	2.54M	Analyst Rec.	Buy
Revenue (TTM)	$86.46B	Rev Growth	+38.6%
Op. Margin	53.7%	FCF (TTM)	$5.96B
Gross Margin	83.6%	ROE	86.0%
EV/EBITDA	26.9x	Debt/Equity	122.9%
EPS (TTM)	$30.81	Div Yield	51.0%

PRICE TREND · SMA 42 / 252



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FINANCIAL & VALUATION SUMMARY

(USD millions except per-share; A = actual, E = forecast)

Metric	FY 2024A	FY 2025A	FY 2026E	FY 2027E	FY 2028E
Revenue ($M)	45,043	65,179	90,338	115,425	138,728
Revenue Growth (%)	N/A	44.7%	38.6%	27.8%	20.2%
Net Income ($M)	10,590	20,640	28,607	36,551	43,931
Gross Margin (%)	81.3%	83.0%	83.6%	83.6%	83.6%
Net Margin (%)	23.5%	31.7%	31.7%	31.7%	31.7%
EPS ($)	11.89	23.17	32.12	41.03	49.32
P/E (x)	118.76	60.93	43.96	34.41	28.63

TECHNICAL & QUANTITATIVE ANALYSIS

Metric	Value	Notes	Metric	Value	Notes
SMA (42d)	$1233.17	Short-term trend	12m Momentum	+53.7%	
SMA (252d)	$1087.96	Long-term trend	3m Momentum	+15.9%	
RSI (14d)	67.6	Momentum oscillator	Ann. Volatility	33.0%	
Trend	Bullish		Sharpe Ratio	1.13	Rf=4%
Golden Cross (20d)	No		Max Drawdown	-34.5%	
Death Cross (20d)	No		Rel. Strength vs SPY	+384.7%	
TA Signal	BULLISH	Price above SMA42; SMA42 > SMA252; SMA42=$1233.17, SMA252=$1087.96	Quant Score	+0.80	POSITIVE
			SMA Backtest (ann.)	31.8%	B&H; 41.8%

VALUATION CROSS-CHECK

Valuation Method	Implied Price	vs. Current	Weight in	Notes
DCF (FCFE)	$311.74	-77.9%	0% (excluded)	DCF implied price < 35% of market (capex-heavy or d…
Comps — Blended	$1796.85	+27.3%	80%	Included in blend
Analyst consensus	$1453.40	+2.9%	20%	Included in blend
Blended target	$1728.16	+22.4%	100%	Comps 80% + Analyst 20%

DCF (FCFE) SUMMARY

Ke	Terminal g	FCFE growth	Equity value	Implied price	vs. Current
7.50%	4.00%	13.51%	$277.68B	$311.74	-77.9%

PEER COMPARISON · INDUSTRY CONTEXT

Ticker	Company	Market Cap	P/E	EV/EBITDA	Net Margin	Rev Growth
MRK	Merck & Company, Inc.	$366.73B	150.3x	13.8x	3.6%	+4.7%
ABBV	AbbVie Inc.	$518.44B	50.4x	18.4x	15.7%	+10.3%
PFE	Pfizer, Inc.	$166.61B	41.8x	8.7x	6.3%	-0.4%
JNJ	Johnson & Johnson	$679.13B	42.8x	20.1x	16.2%	+5.9%
LLY*	Eli Lilly and Company	$1.26T	45.8x	26.9x	31.9%	+38.6%

* Subject company. P/e in line with peer median; stronger profitability than peers. Trends: Strong top-line growth (38.6% YoY); High operating leverage (53.7% margin); Defensive profile (β=0.39) · Risks: Elevated leverage (D/E: 123%); Premium valuation (P/E: 45.8x) Strong revenue growth; high operating margins; strong roe; positive fcf generation. Source: Yahoo Finance. Not investment advice.